

‘My biggest mistake was not paying attention to asset allocation. There was an impatience to invest entirely in equities as everyone else was doing. I didn’t pay attention to my risk profile’

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tent with my equity holding, which I have been maintaining in the 65-70 per cent range since 2020. I have regular SIPs in equity mutual funds (two mid- and small-cap funds), balanced funds, and international funds in both developed and emerging markets as a part of diversification. We have just started building the portfolio for our son. I don’t have a large allocation in gold and silver. I don’t do fixed income as I have a home loan, and with current rates, it’s better to pay off the loan than invest. My debt portion is taken care of by my hybrid funds. I have a small exposure to AIFs that I am looking to grow over time with a private equity and growth equity fund in the AIF category that we are launching in the coming years.

Q: What are some of the money mistakes you have made?

NK: Planning and investing for the short-term while not paying heed to how macro headwinds change, and not acting fast enough. Many times, you feel like you should change a certain thing in your portfolio but don’t act on that instinct quickly enough.

NS: I have made many mistakes. God was kind enough that my errors didn’t cost me a lot. I relied upon “tips” to make a quick buck. I

invested to make money overnight in things that I didn’t understand. I tried my hands at trading to make money. I bought on momentum rather than fundamentals. I have made all the errors there are, only to become wiser. I wish someone had told me that it is better to learn from others’ mistakes than from your own.

RG: My biggest money mistake was not paying attention to asset allocation. When I started earning, there was an impatience to invest entirely in equities as everyone else was doing the same and times were good. I didn’t pay attention to my own risk profile. One more strategy that hasn’t worked for me in the past year is international allocation. I am holding global stocks, especially in emerging markets, as part of the equity segment, which has trailed India’s returns over the last year, but I continue to hold it as part of the asset allocation. Starting is usually a smart idea. Don’t stress about market timing. Take it slow so that you can make mistakes that are small and then discover what works best for you. And invest the way that works for you, not the way that others invest or out of FOMO (fear of missing out).

Q: What are some themes to watch out for in the next 10 years?

NK: Energy transition. We are moving towards more efficient sources of energy. Everything from green hydrogen to renewables and geo-engineering and climate tech will be quite large as a space in the next 10 years, with many large companies forming in the sector.

NS: India is a rising tide. The rising tide lifts all the boats except the one that has a hole in it. The same is true for the equity markets in India; all the companies will do well except the ones that have governance issues. As long as you invest on a regular basis, invest for the long-term and invest in good managers, you will do well.

RG: Our view has always been asset allocation-focussed. Rising yields offer one opportunity to lock in money at higher rates for the long term. So, long-term-oriented target maturity funds in today’s regime might be a very good option, especially for people who want to lock in for 10-15 years—maybe domestically driven themes rather than export oriented or companies with strong global business. The focus will be on cyclicals that benefit from the revival of the domestic economy, and the beneficiaries of schemes like PLIs. The whole manufacturing movement will also be in focus. **BT**

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